outlook for corporate profitability; this is only weakly related to the achievements of the leadership.

Is the rupee–dollar exchange rate a good measure of how the government is faring? The fluctuations of the exchange rate have nearly no link with how the country is faring. Depreciation is often beneficial for the economy. When a leadership starts viewing the exchange rate as a measure of its performance, this is generally harmful.

There is thus no information system that generates feedback loops for government, in the way that accounting data and stock market data generates feedback loops in private firms.

Government agencies are monopolies

The customers of private firms generally have choices about whom they buy from. State agencies are generally monopolies. The only place that you can get a driver's licence is a government office; the customer has no choice. The policy thinker Manish Sabharwal once said that RBI's bond exchange, the Negotiated Dealing System (NDS), 'has hostages, not customers'. Nobody chooses to be a member of the NDS, they are forced to use it. This diminishes organizational performance.

The leadership of a private firm fears financial non-performance, which will ultimately lead to the loss of jobs and empire. Persistent weak performance can induce a sale of the firm to a new shareholder, who can impose painful changes upon the firm. Private firms face the threat of a bankruptcy process where the firm can be shut down or fundamentally reorganized.

None of these possibilities influence employees in the government. There are rare events where a government agency is closed down. Politicians fear losing elections. Officials have no fear.

The RBI was created in 1934. Consider the thousand-odd large private firms which also existed in 1934. By 2019, most of these firms had gone under, in the face of competitive pressure. The survivors (e.g., Tata Steel)